# Public Provision and Private Competition in Health Insurance*

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**Abstract**

Many social programs provide public benefits that can reduce demand for private options. Expanding eligibility for these programs can create a trade-off between broadening access to public benefits and preserving the demand that sustains private competition and consumer choice. I study this trade-off in the U.S. health insurance market. Using administrative enrollment and claims data from Colorado, I develop and estimate a structural model of insurance demand, pricing, and insurer participation to evaluate an expansion of Medicaid eligibility from 138 to 200 percent of the federal poverty level. I find the expansion removes relatively low-cost enrollees from the private market. Adverse selection is limited, however, because premium subsidies largely offset higher gross premiums. The policy does reduce private demand, lowering insurer participation and leaving remaining consumers with fewer coverage options. Welfare losses among these consumers are concentrated in smaller markets, where expansion leads to a greater decline in the probability of having multiple insurers. These findings highlight the role of insurer participation in shaping the welfare effects of public coverage expansions and inform recent proposals to extend Medicaid eligibility.

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